UNITED STATES SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-Q
NEXAWAVE SOLUTIONS CORP.
QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE EXCHANGE ACT
For the quarterly period ended September 30, 2025

CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS (UNAUDITED)
(In millions of USD, except per share amounts)

	Three Months Ended Sept 30,	
	2025	2024
Revenue	$340.5	$295.0
Cost of revenue	$115.0	$105.0
Gross Profit	$225.5	$190.0
Operating Expenses	$205.0	$198.0
Operating Income (Loss)	$20.5	$(8.0)
Income Tax Provision	$5.3	$0.4
Net Income (Loss)	$15.2	$(8.4)

Net income for Q3 FY2025 was $15.2 million, demonstrating a successful turnaround from a net loss of $(8.4) million in Q3 FY2024. Operating cash flow for the third quarter was $45.0 million. Capital expenditures were $12.0 million for the quarter.

NEXAWAVE SOLUTIONS CORP.
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (UNAUDITED)

Note 3. Geographic Segment Revenue

The Company operates in North America, Europe, and Asia-Pacific. For the three months ended September 30, 2025:

· North America revenue was $265.0 million (denominated in USD).
· European cloud operations generated ·45.0 million (EUR) in revenue, equivalent to approximately $49.5 million USD at the average exchange rate for the period.
· Asia-Pacific revenue was $26.0 million USD.

Note 4. Cash, Cash Equivalents and Short-Term Investments

As of September 30, 2025, the Company's cash and cash equivalents totaled $110.0 million USD.

Restricted cash held for collateral was $5.0 million. Total liquidity was $150.0 million including available revolving credit.

NEXAWAVE SOLUTIONS CORP.
NOTES (CONTINUED), ITEM 1A. RISK FACTORS & ITEM 2. MANAGEMENT OUTLOOK

Note 9. Unadjusted Discrepancy Note
Due to timing adjustments in foreign subsidiary reporting, preliminary branch statements indicated cash and cash equivalents of $108.5 million USD, compared to $110.0 million USD reported in Note 4.

Disclosed Risk Factors:
· Foreign Exchange Rate Fluctuations: With significant European operations, fluctuations in the EUR/USD exchange rate may adversely affect reported consolidated revenues and operating margins.
· Regulatory Compliance with European AI Act: The European Union's Artificial Intelligence Act imposes rigorous transparency and audit requirements on high-risk generative AI systems, which may increase engineering compliance cost

Management Outlook:
· For the fourth quarter of fiscal 2025 (Q4 FY2025), management expects gross margin to reach approximately 68%.
· Management projects Q4 FY2025 revenue between $360.0 million and $375.0 million USD.